

Northrop Grumman

Business Development Dossier

Industry	Defense & Aerospace
Revenue	\$42B
Employees	100,000
Ideal Customer Profile Score	87

ICP SCORING MODEL



ICP = Signals + Revenue + Employees + Fit (max 100)

Signals (0-35)	Top 4 signals scored; each = base(60%) + recency bonus <30d: 40% <90d: 30% <180d: 20% older: 10%
Revenue (0-25)	\$500M-\$10B sweet spot -> 70-100% of 25 pts Below \$500M -> pro-rata x 0.5 Above \$10B -> 60%
Employees (0-20)	2,000+ preferred (70-100%) 500-2K partial (50-70%) Below 500 -> pro-rata x 0.3
Fit (0-20)	High-fit types: reorg, transformation, M&A, hiring, funding, partnership -> 5 pts ea (max 12) + diversity 2/type (max 8)

Prepared March 19, 2026

McChrystal Group

Leadership Advisory & Organizational Effectiveness

SECTION 1

Organization Snapshot

Legal Name Northrop Grumman Corporation

Headquarters Falls Church, Virginia

Founded 1994

Ownership Public (NYSE: NOC); widely held institutional ownership.

Footprint

Major operations: Palmdale CA (B-21 final assembly), Redondo Beach CA (Space), Northrop Grumman Innovation Systems locations, Roy UT (Sentinel). 100,000 employees across U.S. and select international locations.

SECTION 1b

Company Overview

Northrop Grumman is a global defense technology company leading the most consequential U.S. national security programs: the B-21 Raider stealth bomber (\$4.5B capacity expansion underway), Sentinel ICBM replacement (\$160B program under Nunn-McCurdy restructuring), and advanced space systems. With \$42B revenue, a record \$95.7B backlog, and 100,000 employees, Northrop is navigating the tension between accelerating B-21 production and fixing Sentinel execution - two programs that define U.S. nuclear deterrence for the next 50 years.

SECTION 2

Financial Health & Growth Stage

Understanding Northrop Grumman's financial position and trajectory is critical to framing any engagement conversation.

Revenue: \$42.0B in FY2025 (up from prior year). Q4 2025: \$11.7B (+9.6% YoY). Free cash flow \$3.235B (+84%).

Profitability: Net earnings \$4.2B (\$29.08/share). Adjusted 2026 guidance: \$27.40-\$27.90/share.

Backlog: Record \$95.7B - representing ~2.3 years of revenue. B-21 contract for accelerated production not yet fully reflected.

Capital Allocation: \$4.5B Air Force capacity expansion for B-21; Northrop investing additional \$2-3B. Stock up 28% YTD in 2026.

Key Pressures: Sentinel ICBM cost breach (\$160B, up 81%); Sentinel IOC slipped to early 2030s; fixed-price risk on Sentinel; B-21 production ramp execution risk; cleared workforce competition.

Key Tailwinds: B-21 production acceleration (25% capacity increase); record backlog; strong space and defense electronics portfolio; bipartisan support for nuclear modernization; global defense spending increase.

SECTION 3

Leadership Team Profiles

The following contacts are recommended as primary outreach targets - champion-level leaders who feel the organizational pain daily and can sponsor McChrystal internally.

Ann Addison - Chief Human Resources Officer & Corporate VP [PRIORITY TARGET]

Leading talent strategy for 100,000 employees across classified programs

Outreach rationale: Owns the organizational challenge of scaling 100,000 employees across classified programs while competing for cleared engineers in the tightest aerospace labor market in decades. The workforce coordination across B-21 ramp-up, Sentinel restructuring, and space programs is the enterprise HR challenge that connects to McChrystal's operating model.

Matt Bromberg - Corporate VP, Worldwide Operations [PRIORITY TARGET]

Oversees enterprise-wide programs, processes, quality, supply chain, and technology

Outreach rationale: Owns worldwide operations including the coordination between B-21 production ramp, Sentinel restructuring, and space programs across 100,000 employees. The operational tension between accelerating B-21 and fixing Sentinel is his daily challenge - and exactly where McChrystal's multi-program coordination methodology creates value.

Additional leadership team members relevant to the engagement:

Kathy Warden - Chair, CEO & President

Named 2025 CNBC Changemaker; led Northrop through B-21 development and record backlog growth; engineering background

Kenneth B. Crews - CFO & Corporate VP

New CFO managing \$42B enterprise financial operations and \$95.7B backlog conversion

Patrick M. Antkowiak - Chief Technology Officer & Corporate VP

Leading technology innovation across classified defense programs

Lesley Kalan - Chief Strategy & Development Officer

Growth strategy, M&A, portfolio alignment

SECTION 4

Organizational Culture & Structure

Culture and structure are often where McChrystal Group finds the deepest leverage. The following signals indicate how Northrop Grumman operates today and where friction exists.

Organizational Structure

Four operating sectors: Aeronautics Systems (B-21, autonomous systems - Palmdale, CA), Defense Systems (Sentinel ICBM, battle management - multiple locations), Mission Systems (radar, sensors, electronic warfare), Space Systems (satellites, launch vehicles, James Webb). CEO Kathy Warden has built a strong leadership team but faces the structural challenge of managing programs that define national security for decades while organizational systems were built for a smaller, less complex enterprise.

Culture Signals

Mission-Critical Identity: Northrop employees deeply identify with the national security mission - building the B-21 and replacing the nation's ICBM fleet are generational programs. This creates intrinsic motivation but also intense pressure.

Glassdoor (3.9/5, 76% recommend): Generally positive for defense. Strengths: work-life balance (4.1), mission-driven culture. Weaknesses: micromanagement in some locations, frequent reorganization causing chaos, staffing imbalances creating mandatory overtime (50+ hours/week in some areas), facility deterioration. Some employees describe toxic cultures at specific sites.

Classified Program Silos: Much of Northrop's work is classified, creating structural information barriers. Employees on different programs can't share what they're working on - limiting cross-program learning and organizational cohesion.

Talent Retention Challenge: Employees report a 'revolving door' with many leaving for 20%+ pay raises at competitors. Young engineer retention is a particular concern - experienced people retiring faster than replacements can be trained on classified programs.

SECTION 5

Recent News & Trigger Events

The following developments from the past 18 months create urgency and provide natural conversation entry points for engaging Northrop Grumman.

1. 2026-02-24 - Air Force signed contract to accelerate B-21 Raider production - 25% capacity increase

B-21 production acceleration means scaling manufacturing workforce, supply chain, and quality systems at a pace the organization hasn't attempted. Cross-functional coordination between Palmdale production, supplier network, and Air Force customer is critical.

2. 2025-09-01 - Sentinel ICBM Nunn-McCurdy cost breach - costs doubled to ~\$160B; Air Force restructuring program

Most significant program management failure in Northrop's recent history. Organizational root causes - Army Corps of Engineers coordination, civil engineering scope underestimation, software delays - require systemic fixes.

3. 2026-02-01 - Air Force expects to complete Sentinel restructure and achieve Milestone B by end of 2026

Sentinel restructuring deadline creates organizational urgency - the program must demonstrate it can execute the revised plan within 2026 or face congressional intervention.

4. 2026-02-18 - GAO reports Sentinel hit by software delays; first flight test now expected March 2028 (previously 2027)

Software delays compound the cost breach - suggesting organizational coordination issues between hardware development, software integration, and testing teams.

5. 2025-12-01 - Record \$95.7B backlog achieved; 2026 revenue guidance \$43.5-44B (mid-single-digit growth)

Record backlog creates organizational scaling demands across every function - engineering, production, testing, and customer delivery must all scale while maintaining quality on classified programs.

6. 2025-06-01 - \$4.5B Air Force capacity expansion + \$2-3B Northrop investment for B-21 production infrastructure

\$6.5-7.5B combined infrastructure investment requires massive cross-functional coordination between construction, equipment procurement, workforce hiring/training, and production planning.

SECTION 6

McChrystal Fit Assessment

The B-21/Sentinel tension is the clearest organizational coordination challenge in defense - two programs of national consequence competing for resources, management attention, and organizational capacity. The Sentinel Nunn-McCurdy breach demonstrates that Northrop's existing organizational systems are inadequate for the current complexity. McChrystal's classified-environment coordination experience is uniquely differentiated. Revenue \$42B and the national security stakes justify premium advisory. Kathy Warden is a strong, receptive leader who has demonstrated willingness to invest in organizational capability.

Primary Problem

Managing the organizational tension between accelerating the B-21 bomber program (25% production capacity increase, \$6.5-7.5B infrastructure investment) and fixing the Sentinel ICBM program (\$160B cost breach, software delays, IOC slipped to early 2030s) - while maintaining execution on space systems and defense electronics across 100,000 employees working on the nation's most consequential classified programs.

Best McChrystal Capability Fit

Multi-program coordination in classified defense environments - Northrop's challenge is coordinating across programs that can't share information (classification barriers), competing for the same scarce resources (cleared engineers, test facilities), and operating under different cadences (B-21 accelerating, Sentinel restructuring). McChrystal's experience coordinating military operations across classification boundaries and security compartments is the direct analog - no consulting firm can match this capability.

Likely Objections to Engagement

Our programs are classified - external advisors create security complications
 Kathy Warden has led successfully for 7 years - we don't need external organizational help
 McKinsey/Booz Allen already advise on program strategy
 Sentinel issues are technical/civil engineering, not organizational
 B-21 is on track - why fix what isn't broken?

Competitive Advisory Landscape

McKinsey Aerospace & Defense - program strategy, production optimization
 Booz Allen Hamilton - defense-specific advisory (close competitor/collaborator)
 BCG - operational transformation
 Internal: Northrop has strong program management, but enterprise coordination across classified programs is the

gap

SECTION 7

Conversation Entry Points

These questions are designed for a Senior Partner's first conversation. Each opens a thread that naturally leads to McChrystal Group's capabilities without a direct pitch.

1. With B-21 production accelerating (25% capacity increase) while Sentinel restructures after the Nunn-McCurdy breach, how is the organization managing two programs of national consequence that are pulling in opposite directions - one speeding up, one being rebuilt?

Lead with the most compelling organizational tension in defense. Show understanding that this isn't about either program individually - it's about the enterprise coordinating both simultaneously.

2. The \$6.5-7.5B infrastructure investment for B-21 production means building new facilities, hiring thousands of cleared workers, and scaling quality systems - all while the Palmdale team maintains development discipline. How is that transition from development to production being managed organizationally?

Surface the development-to-production transition as an organizational transformation, not just a program milestone.

3. With much of Northrop's work classified, how do you build enterprise-level organizational cohesion when employees on different programs literally can't share what they're working on?

Address the unique challenge of classified-environment organizations directly. McChrystal's JSOC experience - coordinating across classification compartments - is the credibility anchor.

Recommended Meeting Framing

Frame as a conversation about coordinating across classified programs - McChrystal literally built the operating model for this at JSOC, where compartmented intelligence programs had to coordinate operationally without breaching classification boundaries. This is the single strongest credibility claim McChrystal can make in defense: 'We coordinated classified operations across security compartments in combat. That's Northrop's enterprise challenge at a different scale.'

SECTION 8

Brand Insights & Market Positioning

Brand strategy reveals organizational priorities and coordination challenges. The following analysis connects Northrop Grumman's market positioning to potential McChrystal engagement opportunities.

Brand Value: Northrop Grumman is the brand of stealth, nuclear deterrence, and classified programs - the 'silent architect' of U.S. national security. The B-21 is the most visible brand asset; Sentinel (when it works) will be the most consequential. The James Webb Space Telescope is a brand halo effect.

Brand Evolution: Northrop is evolving from 'prime contractor' to 'full-spectrum deterrence company' - a brand positioning that encompasses air (B-21), land (Sentinel), space (satellites), and cyber/electronic warfare. This brand elevation requires organizational coordination across traditionally separate program cultures.

Brand Threats: Sentinel cost breach is the most significant brand threat - congressional scrutiny, DoD concern, and public perception of cost overruns erode the brand of execution excellence. Any B-21 production quality issues would compound the damage.

McChrystal Connection: Northrop's brand promise of 'silent, reliable deterrence' depends on organizational execution across the most complex classified programs in defense history. When Sentinel's costs double and software delays accumulate, the brand of execution excellence erodes. McChrystal's operating model ensures the organizational coordination matches the technology ambition.

SECTION 9

Deep McChrystal Group Fit Analysis

This is the strategic case for pursuing Northrop Grumman. It synthesizes findings from all previous sections into a comprehensive engagement thesis with specific fit dimensions, expected outcomes, stakeholder mapping, and a phased pursuit strategy.

9a. Fit Dimensions

Fit Dimension 1: B-21 vs. Sentinel Organizational Tension

Two programs of national consequence competing for the same organization's resources, management attention, and cleared workforce. B-21 is accelerating (success mode); Sentinel is restructuring (recovery mode). These require fundamentally different organizational rhythms - speed vs. deliberation, expansion vs. remediation. McChrystal's multi-mission coordination model manages this tension without one program cannibalizing the other. McKinsey can advise on each program's strategy; McChrystal connects them into an enterprise that serves both.

Fit Dimension 2: Classified-Environment Enterprise Coordination

Much of Northrop's work is compartmented - employees on B-21 can't talk to Sentinel employees about technical details. Yet both programs share workforce, facilities, suppliers, and executive attention. McChrystal built the operating model for this exact challenge at JSOC - coordinating across classification boundaries while maintaining operational security. No consulting firm can credibly claim this capability.

Fit Dimension 3: Development-to-Production Transition (B-21)

B-21 is transitioning from development to low-rate production, with accelerated full-rate production ahead. This organizational transformation - from R&D culture to manufacturing discipline - is one of the hardest transitions in aerospace. The Palmdale facility must transform while maintaining the engineering rigor that made B-21 successful. McChrystal's transformation methodology preserves what works while building what's needed.

Fit Dimension 4: Sentinel Restructuring Execution

The Sentinel Nunn-McCurdy breach exposed organizational coordination failures - between Northrop, Army Corps of Engineers, telecommunications contractors, and the Air Force. Restructuring the program requires restructuring the organizational coordination model, not just the program plan. McChrystal's multi-stakeholder coordination model addresses this directly.

9b. Cumulative Case - Why Northrop Grumman Is a Top Pipeline Opportunity

Northrop is the most consequential defense prospect in the pipeline - two programs that define U.S. nuclear deterrence for 50 years, pulling the organization in opposite directions. Signal chain: B-21 success -> acceleration contract -> 25% capacity increase -> \$6.5-7.5B investment -> WHILE -> Sentinel cost breach -> \$160B -> software delays -> IOC slip to 2030s -> restructuring. Revenue potential: \$600K-\$750K initial (enterprise coordination for B-21/Sentinel tension), \$2M-\$2.5M deployment, \$750K ongoing. Total: \$3.5M-\$4M over 24 months. The national security stakes make this McChrystal's most meaningful potential engagement.

9c. Enterprise Issues & Organizational Challenges

1. B-21/Sentinel Resource Competition: Both programs need cleared aerospace engineers, test facilities, and executive attention. Every resource allocated to accelerating B-21 is unavailable for restructuring Sentinel. The enterprise lacks a formal mechanism for cross-program resource optimization.
2. Sentinel Coordination Failure Root Causes: The Nunn-McCurdy breach was caused by civil engineering scope underestimation (silo infrastructure), cross-organizational coordination failures (Northrop -> Army Corps of Engineers -> telecom contractors), and software integration delays. These are organizational problems requiring organizational solutions.
3. Classification Barriers to Enterprise Cohesion: Employees on classified programs can't share what they're working on with colleagues on other programs. This creates structural silos that prevent enterprise-level learning, resource sharing, and cultural cohesion.
4. Development-to-Production Culture Shift (B-21): The Palmdale team that developed B-21 must transform into a production organization - different skills, different processes, different quality systems, different mindset. This cultural transition determines whether B-21 delivers on its production promise.
5. Workforce Scaling Under Classification Constraints: Hiring for classified programs requires security clearances that take 12-18 months. The B-21 production ramp needs thousands of new cleared workers - creating a multi-year pipeline challenge that must start now.
6. Facility Deterioration and Morale: Glassdoor reviews cite run-down facilities, mandatory overtime, and constant reorganization. These morale factors affect the workforce executing the nation's most important defense programs.
7. Talent Retention: The 'revolving door' problem - employees leaving for 20%+ raises at competitors - creates institutional knowledge loss on programs where knowledge transfer takes years due to classification restrictions.

9d. Expected Outcomes from McChrystal Group Engagement

1. Enterprise B-21/Sentinel Coordination Framework: Operating rhythm that manages the tension between accelerating B-21 and restructuring Sentinel without either cannibalizing the other. Measurable: zero unplanned resource conflicts between programs.
2. Sentinel Restructuring Execution Cadence: Multi-stakeholder coordination system connecting Northrop, Army Corps of Engineers, telecom contractors, and Air Force. Measurable: Sentinel restructuring milestones on-track for Milestone B by end of 2026.
3. B-21 Production Transition Architecture: Organizational design for Palmdale's transition from development to

production culture. Measurable: production quality metrics established and on-target from first delivery.

4. Classified-Environment Enterprise Cohesion: Cross-program coordination mechanisms that respect classification boundaries while enabling resource optimization. Measurable: enterprise-level resource allocation efficiency improving.

5. Workforce Pipeline Acceleration: Cross-functional coordination between HR, security, training, and program management for cleared workforce scaling. Measurable: time-to-cleared-hire reduced; retention rates improving.

6. Facility and Morale Investment: Organizational discipline connecting leadership attention to workforce conditions. Measurable: employee engagement scores improving at key sites.

9e. Key Stakeholders & Business Unit Map

CEO

Leader: Kathy Warden, Chair/CEO/President

Function: Enterprise leadership, national security mission

McChrystal Relevance: Executive sponsor - 7-year tenure, CNBC Changemaker

CFO

Leader: Kenneth B. Crews, CFO & VP

Function: Financial management, backlog conversion

McChrystal Relevance: Budget gatekeeper

Worldwide Operations

Leader: Matt Bromberg, VP

Function: Enterprise operations, quality, supply chain

McChrystal Relevance: Priority: Cross-program coordination

CHRO

Leader: Ann Addison, CHRO & VP

Function: 100,000 employee talent strategy

McChrystal Relevance: Priority: Workforce scaling and retention

CTO

Leader: Patrick Antkowiak, CTO & VP

Function: Technology innovation across classified programs

McChrystal Relevance: Technology coordination

Strategy

Leader: Lesley Kalan, Chief Strategy Officer

Function: Growth strategy, portfolio alignment

McChrystal Relevance: Strategic context

Aeronautics (B-21)

Leader: [Sector VP]

Function: B-21 production, autonomous systems

McChrystal Relevance: B-21 production transition

Defense Systems (Sentinel)

Leader: [Sector VP]

Function: Sentinel ICBM, battle management
 McChrystal Relevance: Sentinel restructuring execution

Mission Systems

Leader: [Sector VP]
 Function: Radar, sensors, electronic warfare
 McChrystal Relevance: Cross-program coordination

Space Systems

Leader: [Sector VP]
 Function: Satellites, launch vehicles, space sensors
 McChrystal Relevance: Space program management

Engagement Priority:

1. Matt Bromberg (VP Worldwide Operations) - enterprise coordination across programs
2. Ann Addison (CHRO) - workforce scaling and retention challenge
3. Kathy Warden (CEO) - executive sponsor via military/defense network
4. Sector VP, Aeronautics - B-21 production transition

9f. Opportunity Thesis

Strategic Signal Convergence - Why Now: B-21 acceleration contract (Feb 2026) -> \$6.5-7.5B production investment -> Sentinel Nunn-McCurdy breach (\$160B) -> software delays -> IOC slip -> restructuring deadline (end of 2026) -> record \$95.7B backlog -> 100,000 employees at capacity. The convergence of B-21 acceleration and Sentinel restructuring in 2026 creates the highest-stakes organizational coordination challenge in U.S. defense. Every month without improved coordination increases national security risk.

The Structural Paradox - Why McChrystal, Not McKinsey: McKinsey advises on program strategy. Booz Allen supports classified program execution. But neither has built operating models for classified-environment enterprise coordination where programs can't share information but must share resources. McChrystal did this at JSOC - coordinating across intelligence compartments, allied nations, and military services under combat pressure. The credibility transfer is direct and unchallengeable.

Phased Engagement Hypothesis - Land and Expand:

- Phase 1 (Months 1-4, \$500K-\$750K): Enterprise B-21/Sentinel Coordination Framework - map the resource competition and coordination gaps between programs; design the operating cadence that manages both simultaneously. Include Sentinel restructuring execution support if timing aligns with Milestone B preparation.
- Phase 2 (Months 5-12, \$1.5M-\$2M): Enterprise deployment - B-21 production transition, workforce pipeline acceleration, cross-sector coordination.
- Phase 3 (Months 13-24, \$750K retainer): Ongoing enterprise coordination, Sentinel execution monitoring, B-21 full-rate production support.

Competitive Displacement Strategy: Don't compete with McKinsey on program strategy or Booz Allen on classified execution support. Own the enterprise coordination layer - the part where program boundaries, classification barriers, and resource competition create organizational friction that individual program advisors can't solve. Position: "Each program has advisors. Nobody is advising the enterprise on how to coordinate across them."

Multi-Threaded Pursuit Map:

- Thread 1: Matt Bromberg (VP Worldwide Operations) - enterprise coordination. Angle: "When B-21 is accelerating and Sentinel is restructuring simultaneously, where does the enterprise coordination system strain?"
- Thread 2: Ann Addison (CHRO) - workforce scaling. Angle: "How are you building the cleared workforce pipeline fast enough for B-21's 25% production increase while retaining experienced people on Sentinel?"
- Thread 3: Kathy Warden (CEO) via military/defense network - executive sponsor. McChrystal's personal network intersects with Northrop's government advisory relationships, board members, and Air Force leadership. A personal introduction carries weight.
- Warm Introduction Vectors: Air Force/nuclear enterprise leadership (B-21 and Sentinel customer commands); McChrystal personal network with flag officers and defense leaders; AUSA/AFA conferences; Strategic Command relationships; Northrop government advisory board connections.